Don’t mess with capital gains tax

Income should be taxed on the same principle, whether it comes from labour or capital



BEYOND IDEOLOGY

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The finance minister has indicated the government’s willingness to re-examine India’s long-term capital gains (LTCG) tax on equity, driven largely by the need to attract foreign investors at a time when the rupee and the balance of payments (BoP) are under pressure. It should do no such thing. Our capital gains tax regime is broadly on the right trajectory, with tax rates on gains from different types of assets converging. The case for re-examining what is essentially a good thing is very weak, especially when capital gains taxes remain a significant source of revenue in a difficult year.

There are two parallel areas of reasoning to note here. One relates to the medium-term pressure on the BoP and the rupee in an environment where global interest rates are high and specific sectors like artificial intelligence (AI) are sucking up huge amounts of capital away from emerging markets like India. The other relates to the principles that should govern taxation of incomes arising from capital investments.

Let’s deal with the first issue here — the short- to medium-term pressure on the BoP resulting from outflows of foreign portfolio capital, mainly from the stock markets. Many foreign investors are leaving not because India is a bad story, but because the medium-term prospects for growing their money seem better elsewhere. This outflow, which is being accentuated by the weakness in the rupee despite a massive $140 billion inflow through foreign-currency non-resident (bank) deposits, or FCNR (B), and external borrowings, is worrying the government and the central bank. Administrative measures have been taken by the Reserve Bank of India (RBI) to prevent excessive speculation and foreign exchange hedging, and oil companies have been given a separate window outside the regular market for foreign exchange purchases. But the weakness continues. The government has also reduced to zero the tax on interest earnings from government securities for foreign investors, which makes sense, for these can be negative-return avenues when the currency is depreciating.

These are good things to do in the short term, but cutting LTCG on equity investments is not just a tactical move. It has long-term implications for both domestic and foreign investor sentiment, not least because we are now changing the rules for arbitrary reasons. In any case, there is no reason to believe that a cut in or the elimination of LTCG tax will actually bring in more dollars, as some foreign investors could well decide that zero LTCG means they can carry their gains out of India for investment in US Treasuries. More so, when they know that this is being done to ease the pressure on the rupee, and could be reversed later. There is no certainty that a tax cut will bring in the dollars rather than prompt investors to take their gains and run.

As a country with a large gap between domestic savings and investment, we need foreign capital, but the right way to attract it is not by cutting capital gains taxes. There is no substitute for making India a long-term and safe bet for patient investors who want to build manufacturing or services entities in this country. This has to be done by making it easier for them to invest here, and not just making it easier for them to exit faster. A blow-hot-blow-cold approach to tax policy will hardly reassure them that policies are stable for the long term. If taxes can be cut on a whim, why can’t they be reintroduced on a whim too?

This brings us to the principles that should underlie taxation of incomes on invested capital. Capital investments generate three basic types of incomes for the investor — interest, dividends, and capital gains. The Modi government has tried to bring dividends on a par with income earned from labour by abandoning the old dividend distribution tax (DDT), which was essentially payable at the corporate end and did not differentiate between dividends paid to a small shareholder and those with large holdings. Essentially, it indirectly taxed small shareholders and benefited large shareholders, including promoters. In parallel, the Modi government raised taxes on earnings from investments in debt to bring them on a par with bank deposits, while also abandoning the tax-free bonds scheme, which again was a benefit only for those in the highest tax brackets.

LTCG rates were raised in the 2024 Budget, and most capital gains on multiple assets were taxed at 12.5 per cent, plus surcharge, where applicable, for higher income earners. Put simply, taxes on dividends were treated on a par with income earned from other sources, while taxes on equity capital gains were treated preferentially. This makes sense to some extent, as equity is risk capital, and India needs risk capital to boost productivity and growth.

One can see the thought behind various changes. The government has been slowly equalising taxes on income from debt and income from salaries and other forms of labour, while keeping taxes on capital gains on favourable terms. Keeping LTCG at a relatively low level compared to taxes on interest, dividends, and income from labour work is probably justified in order to attract risk capital, but zero tax on capital gains? Is there any better way to silently send the message that capital needs to be mollycoddled more than labour, when we have millions needing jobs?

A cut in LTCG can be done in two ways: One, by restricting it to foreign investors, or, two, by making it available to all investors. I don’t think the domestic investor is demanding any such sops for herself, when systematic investment plans are drawing such huge inflows. Why should the government pander only to foreign investors, who are here only for the profits and nothing more? There is a case for not discriminating against hot flows, but certainly not for discriminating against locals to favour foreign investors. An exception can perhaps be made for debt investments, where the rupee’s weakness can deter foreign investors, but not domestic ones.

The principle of taxing incomes should be the same whether one earns it from labour or capital investment. The case for a reasonable differential between taxation of risk capital and labour is probably well-established, but not for a lopsided preference for treating equity with kid gloves.

A strong case for abolishing LTCG tax can be made only when the country decides to abolish income taxes altogether or offers very high tax-free thresholds. For what we are really taxing here is income. Where that income comes from does not matter all that much. And if a cut in LTCG is being considered as a short-term tactical move, like the FCNR (B) gambit, why not say that only equity investments made between now and March 31, 2027, will qualify for these zero rates? But even that is not a good idea, for it complicates the tax regime further — which is not a worthwhile move when we are trying to simplify things. So, no, don’t mess with LTCG.

The writer is a senior journalist